

MODEL TEST PAPER 7
INTERMEDIATE COURSE: GROUP - I
PAPER – 1 : ADVANCED ACCOUNTING

Time Allowed – 3 Hours

Maximum Marks – 100

1. *The question paper comprises two parts, Part I and Part II.*
2. *Part I comprises Case Scenario based Multiple Choice Questions (MCQs)*
3. *Part II comprises questions which require descriptive type answers.*

PART I – Case Scenario based MCQs (30 Marks)

Part I is compulsory.

Case Scenario

1. Excellence Ltd. is a Real Estate Company which constructs residential and commercial projects for selling. The Company has commenced a new project and the expenses incurred are as follows:
 - The cost of land acquired for Project is ₹ 10 crore
 - Cost of construction incurred is ₹ 25 crores.
 - The Company also incurred cost of ₹ 10 lacs for various administrative meetings in relation to planning of the building.
 - The construction of building completed and at the end of the year 1, the net realisable value of the building was ₹ 40 crore.
 - At the beginning of the next year (year 2), the Company decided to use the building as its corporate office.
 - The Company further incurred ₹ 50 lacs for making necessary changes in the structure for using it as corporate office in accordance with government norms for commercial spaces. Without these changes the office cannot be set up.
 - Ignore the effect of depreciation, if any.

In view of above information, answer the following issues:

- (i) At the end of Year 1, how the building should be classified:
 - (a) Inventory
 - (b) Investments
 - (c) Property, Plant and Equipment
 - (d) Intangible Asset

- (ii) At the end of Year 1, at value Project should be recognised:
 - (a) ₹ 40 Crore
 - (b) ₹ 35 Crore
 - (c) ₹ 35.10 Crore
 - (d) ₹ 25 Crore
- (iii) At the end of Year 2, when the intention is to use the building as corporate office, it should be classified as:
 - (a) Inventory
 - (b) Investments
 - (c) Property, Plant and Equipment
 - (d) Intangible Assets
- (iv) At the end of Year 2, the Project should be valued at:
 - (a) ₹ 40 Crore
 - (b) ₹ 35.50 Crore
 - (c) ₹ 35.10 Crore
 - (d) ₹ 25 Crore

**Multiple Choice Questions [4 MCQs of 2 Marks each:
Total 8 Marks]**

2. Supercool Ltd. is a manufacturing company, engaged in manufacturing eco-friendly equipment. On April 1, 2023, the Company received a grant of ₹ 20 crore from the Government (which is 25% of the total capital of the Company) for various purposes that the company deems fit and no repayment is required to be made to Government.

The Company also borrowed ₹ 10 crore from financial Institutions and interest paid on the same during the year is ₹ 1 lac.

The Company acquired plant and machinery from the funds for ₹ 10 crore and ₹ 1 crore was spent on its installation and assembly.

₹ 10 lacs were spent on professional fees necessary for installation and operating of the machine. The Company also spent ₹ 50 lacs on revenue expenditure.

The Plant and Machinery was ready for its intended use on September 30, 2023)

The depreciation on plant and machinery is charged @10%.

- (i) The grant of ₹ 20 crores received by the Company should be presented as:
 - (a) Grants related to Revenue
 - (b) Grants related to Specific Fixed Assets
 - (c) Capital Reserve

- (d) Other Income
- (ii) At what value the plant and machinery acquired should be recognised as at 31st March 2024:
 - (a) ₹ 11.10 Crore
 - (b) ₹ 11 Crore
 - (c) ₹ 10.54 Crore
 - (d) ₹ 11.60 Crore
- (iii) The revenue expenditure of ₹ 50 lacs should be recognised as:
 - (a) Part of Plant and Machinery
 - (b) Part of Grant
 - (c) Revenue expenditure in the Profit and Loss
 - (d) Deducted from loan
- (iv) Which of the following statement is true:
 - (a) Plant and Machinery has been acquired out of Government Grant so the same should be disclosed at Nil value.
 - (b) Plant and Machinery belongs to Financial Institution
 - (c) Plant and Machinery belong to the Company and should be recognised as its Property, Plant and Equipment
 - (d) Plant and Machinery should not be disclosed in the financial statements of the Company at all

**Multiple Choice Questions [4 MCQs of 2 Marks each:
Total 8 Marks]**

3. Super Ltd., a manufacturing company, has the following summarized Balance Sheet as of March 31, 2024:

Equity Shares of ₹ 10 each fully paid up: ₹ 17,00,000

Reserves & Surplus:

Revenue Reserve: ₹ 23,50,000

Securities Premium: ₹ 2,50,000

Profit & Loss Account: ₹ 2,00,000

Infrastructure Development Reserve: ₹ 1,50,000

Secured Loan:

9% Debentures: ₹ 38,00,000

Unsecured Loan: ₹ 8,50,000

Property, Plant & Equipment: ₹ 58,50,000

Current Assets: ₹ 34,50,000

Super Ltd. plans to buy back 35,000 equity shares of ₹ 10 each fully paid up on April 1, 2024, at ₹ 30 per share. The buyback is authorized by its articles, and necessary resolutions have been passed. The payment for the buyback will be made using the company's bank balance, which is part of its current assets.

Answer the following questions based on the above information:

- (i) As per The Companies Act, 2013 under Section 68 (2) the buy-back of shares in any financial year must not exceed
 - (a) 20% of its total paid-up capital and free reserves
 - (b) 25% of its total paid-up capital and free reserves
 - (c) 25% of its total paid-up capital
 - (d) 20% of its total paid-up capital
- (ii) How many shares can Super Ltd. buy back according to the Shares Outstanding Test?
 - (a) 35,000 shares
 - (b) 42,500 shares
 - (c) 37,500 shares
 - (d) 54,375 shares
- (iii) What is the maximum number of shares that can be bought back according to the Resources Test?
 - (a) 35,000 shares
 - (b) 42,500 shares
 - (c) 37,500 shares
 - (d) 54,375 shares
- (iv) According to the Debt Equity Ratio Test, what is the maximum number of shares that can be bought back?
 - (a) 35,000 shares
 - (b) 42,500 shares
 - (c) 37,500 shares
 - (d) 54,375 shares

**Multiple Choice Questions [4 MCQs of 2 Marks each:
Total 8 Marks]**

4. Accounting Standard 19, Lease is applicable on following Leases:
- (a) Lease agreements to explore for or use of natural resources, such as oil, gas, timber metals and other mineral rights.
 - (b) Legal owner of an asset conveys to another party in return for a payment or series of periodic payments, the right to use an asset for an agreed period of time.

- (c) licensing agreements for items such as motion picture films, video recordings, plays, manuscripts, patents and copyrights.
- (d) lease agreements to use lands **(2 Marks)**
5. How should the dividend paid by the Company should be disclosed in the Cash Flows Statement:
- (a) Cash flows from Operating Activities
- (b) Cash flows from Investing Activities
- (c) Cash flows from Financing Activities
- (d) No disclosure in Cash Flow Statement **(2 Marks)**
6. On 31st March 2024, Sri Radhey shyam Enterprise finds that the cost of a partly finished unit on that date is ₹ 530. The unit can be finished in 2024-25 by an additional expenditure of ₹ 310. The finished unit can be sold for ₹ 750 subject to payment of 8% brokerage on the selling price.
- Sri Radhey shyam Enterprise seeks your advice regarding the amount at which the unfinished unit should be valued as at 31st March, 2024 for preparation of final accounts. the partly finished unit cannot be sold in semi-finished form and its NRV is zero without processing it further.
- (a) ₹ 470
- (b) ₹ 380
- (c) ₹ 500
- (d) ₹ 440 **(2 Marks)**

PART II – Descriptive Questions (70 Marks)

Question No.1 is compulsory

*Answer any **four** questions from the remaining **five** questions.*

Wherever necessary, suitable assumptions may be made and indicated in answer by the candidates. Working Notes should form part of the answer.

1. (a) State with reasons, how the following events would be dealt with in the financial statements of Hari Ltd. for the year ended 31st March, 2024 (accounts were approved on 25th July, 2024):
- (1) Negotiations with another company for acquisition of its business was started on 21st January, 2024. Hari Ltd. invested ₹ 40 lakh on 22nd April, 2024.
- (2) The company made a provision for bad debts @ 4% of its total debtors (as per trend followed from the previous years). In the second week of March 2024, a debtor for ₹ 2,50,000 had suffered heavy loss due to an earthquake; the loss was not covered by any insurance policy. In May, 2024 the debtor became bankrupt.

- (3) During the year 2023-24, Hari Ltd. was sued by a competitor for ₹ 13 lakhs for infringement of a trademark. Based on the advice of the company's legal counsel, Hari Ltd. provided for a sum of ₹ 8 lakhs in its financial statements for the year ended 31st March, 2024. On 26th May, 2024, the Court decided in favour of the party alleging infringement of the trademark and ordered Hari Ltd. to pay the aggrieved party a sum of ₹ 12 lakhs.
- (4) Cashier of Hari Ltd. embezzled cash amounting to ₹ 3,00,000 during March, 2024. However the same comes to the notice of Company management during August, 2024.
- (5) Cheques dated 31st March, 2024 collected in the month of April, 2024. All cheques are presented to the bank in the month of April, 2024 and are also realized in the same month in the normal course after deposit in the bank.
- (b) Honey Ltd. is in the process of developing a new production method. During the financial year ended 31st March, 2023, total expenditure incurred on development of this production method was ₹ 98,00,000. On 1st Jan, 2023, the production method met the criteria as an intangible asset and expenditure incurred till this date was ₹ 68,00,000. Further expenditure incurred on the new method was ₹ 72,00,000 for the year ended 31st March, 2024 and recoverable amount of the know how embodied in the new method for this financial year is ₹ 52,00,000.

You are required to calculate:

- (1) The carrying amount of the Intangible asset on 31st March, 2023.
- (2) The expenditure to be shown in Statement of Profit and Loss for the year ended 31st March, 2024.
- (3) The carrying amount of the Intangible asset on 31st March, 2024.

(7 + 7 = 14 Marks)

2. (a) Exe Ltd. acquires 70% of equity shares of Zed Ltd. as on 31st March, 2024 at a cost of ₹70 lakhs. The following information is available from the balance sheet of Zed Ltd. as on 31st March, 2024:

Particulars	₹ in lakhs
Property, plant and equipment	120
Investments	55
Current Assets	70
Loans & Advances	15
15% Debentures	90
Current Liabilities	50

The following revaluations have been agreed upon (not included in the above figures):

Property, plant and equipment Up by 20%

Investments Down by 10%

Zed Ltd. declared and paid dividend @ 20% on its equity shares as on 31st March, 2024 (Face value – ₹10 per share). Exe Ltd. purchased the shares of Zed Ltd. @ ₹ 20 per share.

Calculate the amount of goodwill/capital reserve on acquisition of shares of Zed Ltd.

- (b) From the following data, determine Minority Interest on the date of acquisition and on the date of consolidation in each case:

Case	Subsidiary Company	% of Share Owned	Cost	Date of Acquisition		Consolidation date	
				01-01-2024		31-12-2024	
				Share Capital	Profit and Loss A/c	Share Capital	Profit and Loss A/c
				₹	₹	₹	₹
Case-i	X	85%	1,85,000	1,35,000	60,000	1,35,000	70,000
Case-ii	Y	70%	1,60,000	1,25,000	45,000	1,25,000	5,000
Case-iii	Z	65%	83,000	25,000	5,000	25,000	5,000
Case-iv	M	90%	60,000	45,000	20,000	45,000	40,000
Case-v	N	100%	85,000	25,000	25,000	25,000	50,000

(7+7=14 Marks)

3. (a) Given the following information of Rainbow Ltd.
- On 15th November, goods worth ₹ 5,00,000 were sold on approval basis. The period of approval was 4 months after which they were considered sold. Buyer sent approval for 75% goods sold upto 31st January and no approval or disapproval received for the remaining goods till 31st March.
 - On 31st March, goods worth ₹ 2,40,000 were sold to Bright Ltd. but due to refurnishing of their show-room being underway, on their request, goods were delivered on 10th April.
 - Rainbow Ltd. supplied goods worth ₹ 6,00,000 to Shyam Ltd. and concurrently agrees to re-purchase the same goods on 14th April.

- (iv) Dew Ltd, used certain assets of Rainbow Ltd. Rainbow Ltd. received ₹ 7.5 lakhs and ₹ 12 as interest and royalties respectively from Dew Ltd. during the year 2023-24.
- (v) On 25th December, goods of ₹ 4,00,000 were sent on consignment basis of which 40% of the goods unsold are lying with the consignee at the year-end on 31st March.

In each of the above cases, you are required to advise, with valid reasons, the amount to be recognized as revenue under the provisions of AS-9. **(4 Marks)**

- (b) The following information of Rocky Ltd. as at March 31, 2024:

	₹ in lacs
Fully paid equity shares of ₹ 10 each	500
Capital Reserve	6
12% Debentures	400
Debenture Interest Outstanding	48
Trade payables	165
Directors' Remuneration Outstanding	10
Other Outstanding Expenses	11
Provisions	33
Assets	
Goodwill	15
Land and Building	184
Plant and Machinery	286
Furniture and Fixtures	41
Inventory	142
Trade receivables	80
Cash at Bank	27
Discount on Issue of Debentures	8
Profits and Loss Account	<u>390</u>

The following scheme of internal reconstruction was framed, approved by the Tribunal all the concerned parties and implemented:

- (i) All the equity shares be converted into the same number of fully-paid equity shares of ₹ 2.50 each.
- (ii) Directors agree to forego their outstanding remuneration.
- (iii) The debentureholders also agree to forego outstanding interest in return of their 12% debentures being converted into 13% debentures.
- (iv) The existing shareholders agree to subscribe for cash, fully paid equity shares of ₹ 2.50 each for ₹ 125 lacs.

- (v) Trade payables are given the option of either to accept fully-paid equity shares of ₹ 2.50 each for the amount due to them or to accept 80% of the amount due in cash. Trade payables for ₹ 65 lacs accept equity shares whereas those for ₹ 100 lacs accept ₹ 80 lacs in cash in full settlement.

- (vi) The Assets are revalued as under:

	₹ in lacs
Land and building	230
Plant and Machinery	220
Inventory	120
Trade receivables	76

Pass Journal Entries for all the above mentioned transactions immediately after the reconstruction. **(10 Marks)**

4. From the following particulars furnished by Hello Ltd., prepare the Balance Sheet as on 31st March 2024 as required by Part I, Schedule III of the Companies Act, 2013.

Particulars		Debit ₹	Credit ₹
Equity Share Capital (Face value of ₹ 100 each)			50,00,000
Building		27,50,000	
Plant & Machinery		26,25,000	
Furniture		2,50,000	
General Reserve			10,50,000
Loan from State Financial Corporation			7,50,000
Inventory:			
Raw Materials	2,55,000		
Finished Goods	<u>10,00,000</u>	12,55,000	
Provision for Taxation			6,40,000
Trade receivables		10,00,000	
Short term Advances		2,13,500	
Profit & Loss Account			4,33,500
Cash in Hand		1,50,000	
Cash at Bank		12,35,000	
Unsecured Loan			6,05,000
Trade payables (for Goods and Expenses)			10,00,000

The following additional information is also provided:

- (i) 10,000 Equity shares were issued for consideration other than cash.
(ii) Trade receivables of ₹ 2,60,000 are due for more than 6 months.

(iii) The cost of the Assets were:

Building ₹ 30,00,000, Plant & Machinery ₹ 35,00,000 and Furniture ₹ 3,12,500

(iv) The balance of ₹ 7,50,000 in the Loan Account with State Finance Corporation is secured by hypothecation of Plant & Machinery.

(v) Balance at Bank includes ₹ 10,000 with Omega Bank Ltd., which is not a Scheduled Bank.

(vi) Transfer ₹ 20,000 to general reserve as proposed by Board of directors.

(14 Marks)

5. A Limited and B Limited are carrying on business of same nature. On 31st March, 2024 the information given by both these companies is as follows:

	A Ltd. (₹)	B Ltd. (₹)
Share Capital		
- Equity Shares 10 each (Fully Paid)	12,00,000	7,20,000
- 10% Preference Shares of ₹ 100 each	6,00,000	-
- 8% Preference Shares of ₹ 100 each	-	5,00,000
General Reserve	3,00,000	2,50,000
Investment Allowance Reserve	-	60,000
Security Premium	2,40,000	-
Export Profit Reserve	1,80,000	1,20,000
Profit & Loss Account	2,16,000	1,92,000
9% Debentures (₹ 10 each)	3,00,000	2,00,000
Secured Loan	-	3,60,000
Sundry Creditors	3,12,000	2,04,000
Bills Payable	75,000	1,00,000
Other Current Liabilities	50,000	75,000
Land and Building	10,80,000	8,40,000
Plant and Machinery	6,00,000	5,60,000
Office Equipment	3,45,000	2,10,000
Investments	96,000	3,00,000
Inventory	6,30,000	4,20,000
Sundry Debtors	4,90,000	3,20,000
Bills Receivables	60,000	70,000
Cash at Bank	1,72,000	61,000

A Limited take over B Limited on the above date, both companies agreeing on a scheme of Amalgamation on the following terms:

(a) A Limited will issue 80,000 Equity Shares of ₹ 10 each at par to the Equity Shareholders of B Limited.

- (b) A Limited will issue 10% Preference Shares of ₹ 100 each to discharge the Preference Shareholders of B Limited at 15% premium in such a way that the existing dividend quantum of the preference shareholders of B Limited will not get affected.
- (c) The Debentures of B Limited will be converted into equivalent number of Debentures of A Limited.
- (d) All the Bills Receivable of A Limited were accepted by B Limited.
- (e) A contingent liability of B Limited amounting to ₹ 72,000 to be treated as actual liability in trade payables.
- (f) Expenses of Amalgamation amounted to ₹ 12,000 were borne by A Limited.

You are required to pass opening Journal Entries in the books of A Limited and prepare the opening Balance Sheet of A Limited as on 1st April, 2024 after amalgamation, assuming that the amalgamation is in the nature of Merger.

(14 Marks)

6. (a) “One of the characteristics of financial statements is neutrality” - Do you agree with this statement?

Or

What do you mean by Carve outs/ins in Ind AS? Explain. **(4 Marks)**

- (b) “The company has not made provision for warrantee in respect of certain goods considering that the company can claim the warranty cost from the original supplier”.

You are required to comment in line with the provisions of AS 29.

(6 Marks)

- (c) Why goods are marked on invoice price by the head office while sending goods to the branch? **(4 Marks)**